Motivation in Theory & Practice

Exam code: 9BS0

Download PDF

Written by: Steve Vorster
Reviewed by: Jenna Quinn
Updated on 1 September 2025

The importance of employee motivation

- Motivation refers to the **inner desire or willingness** that propels a person to take action and **achieve a specific goal or outcome**
  - Motivation can be **intrinsic**, coming from within a person (values, beliefs, etc.)
  - Motivation can be **extrinsic**, coming from external factors (rewards or punishments)
- Motivation plays a critical role in a business's success and can have a significant impact on productivity, reliability and loyalty of its workers and labour turnover rates

Motivation and productivity

- Motivated employees are **more productive and efficient**, as they are more likely to be engaged in their work and take the initiative to meet or exceed their goals
- They will generate higher levels of output and quality
- Increased productivity results in **higher profits** for the business

Motivation and the reliability of workers

- Motivated employees are more likely to be **reliable and dependable**
- They take pride in their job, show up on time, meet deadlines and take fewer sick days
- This leads to increased trust between the business and its employees as well as higher **productivity**

Motivation and staff turnover

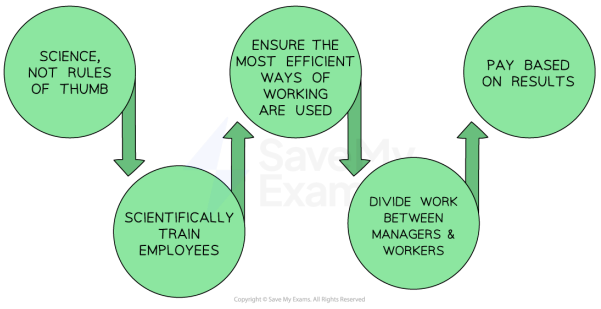
- Motivated employees are more likely to stay with the company long-term, which reduces the **turnover rate**
- Lower turnover rates reduce the need for costly recruitment and training

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Taylor's Scientific Management

- Developed by Frederick Winslow Taylor in the early 20th century
- It focuses on **breaking down complex tasks** into simpler ones, standardising work processes and providing workers with clear instructions and training to achieve maximum efficiency
- Many **manufacturing businesses** use Taylor's principles to structure their staff benefits, e.g. piece-rate pay
  - Production lines involving human labour are often set up based on these principles

Taylor's approach to staff motivation



Taylor's method starts with a scientific analysis of what is involved in a job and then breaks it down into parts for which employees can be trained

Explanation

1. Study and analyse the work process

- Carefully analyse each step of the work process
- Break down **complex tasks** into simpler ones, and identify the most efficient and **effective way to perform each task**

2. Standardise the work process

- This involves creating **detailed procedures and instructions** for each task so that workers can follow these procedures consistently

3. Select and train the workers

- Workers should be carefully selected based on their **skills and abilities**
- Train workers to perform their tasks efficiently and effectively
  - This training includes both **technical skills** and the **proper attitudes and behaviours** required to be successful (e.g. patience in a repetitive task)

4. Provide incentives for performance

- Scientific management emphasises the **use of incentives** to motivate workers
  - This may include **bonuses** or **piece-rate pay**

How businesses use Taylor's approach	Advantages	Disadvantages
• Workers are trained to **perform only one task**, which they become very skilled at • Workers are usually only paid for the **completed work (piece-rate pay)**, e.g. $0.16 per T-shirt completed by garment workers in Bangladesh	• **Increased efficiency**, which lowers costs • **Standardised procedures for** work processes that everyone follows can help reduce errors and inconsistencies • **Specialisation of labour** leads to greater efficiency and productivity • **Clear hierarchy** and lines of authority can lead to more efficient decision-making and communication • **Improved training** and development can lead to better performance and job satisfaction	• **Overemphasis on efficiency** reduces worker satisfaction and creativity • **Workers may disengage** from work if they are reduced to working in a machine-like system • **Limited applicability**, as this approach may not work for roles that require high levels of creativity, problem-solving or interpersonal skills • **Potential for exploitation** as this approach may be used to extract more work from workers without compensating them fairly, e.g many sweatshop labourers get paid using this method

Motivation theories: Mayo's Human Relations Theory

- Mayo's Human Relations Theory was developed by **Elton Mayo** in the 1930s

motivation and job satisfaction

- Mayo suggests that the key to **improving productivity and job satisfaction** lies in understanding and improving the relationships between workers, supervisors and management

How businesses use Mayo's Human Relations Theory

Help me understand

How businesses use Mayo's approach	Advantages	Disadvanta
• **Empowering employees** in decision-making, e.g, creating teams that decide their own priorities • **Team-building activities** are used to build relationships • **Providing feedback** and recognition to employees, e.g. Worker of the Week • **Creating a positive work environment** by promoting open communication and providing support to employees, e.g. offering wellness programmes • **Encouraging employee development** by offering training programmes, mentorship opportunities and career advancement paths	• **Improved job satisfaction** • **Increased productivity** as workers feel valued and supported • **Better communication** — workers value open and honest communication, which reduces misunderstandings and conflicts • **Employee empowerment** increases workers' sense of ownership and responsibility • **Stronger teams** as there is a sense of community and team spirit	• **Time-consumi** building positive relations requires and effo • **Lack of control** a workers more decision • **Resistan change** - some wo and man may be resistant changes required Mayo's tl • **Potentia conflict** attempts build stro relations can also to confli and disagree • **Limited applicab** as it may work for business that requ high deg individua autonom indepen

Maslow's Hierarchy of Needs

- Maslow's Hierarchy of Needs is a theory of human motivation that outlines **five tiers of human needs** that must be met for individuals to reach their full potential

Maslow's hierarchy

Maslow's Hierarchy of Needs, typically represented as a pyramid, with basic needs at the base and more complex needs at the top

Application of Maslow's Hierarchy of Needs

- **Physiological needs**
  - Businesses can **provide necessities** for their employees
  - E.g. **comfortable work environment,** access to clean water and food and adequate rest breaks
- **Safety needs**
  - Businesses can provide job security, fair pay, benefits and **safe working conditions** for their employees
- **Love and belonging (social) needs**
  - Businesses can encourage teamwork and generate a **sense of community** within the workplace
- **Esteem needs**
  - Businesses can provide recognition for employees' accomplishments and provide a positive work culture that **values individual contributions**
- **Self-actualisation needs**
  - Businesses can help employees achieve this need by offering opportunities for employees to **pursue their passions** and interests
  - E.g. Barclays was known for supporting elite sportspeople by allowing them time off work during the day to continue their training (the focus was on getting the job done, not having to be in at a certain time)

Evaluation of Maslow's Hierarchy of Needs

• **Higher employee satisfaction:** By meeting the needs of employees, businesses can create a more satisfying work environment, which can lead **to increased productivity** and **lower turnover rates** • **Increased motivation:** Businesses can motivate their employees by offering **incentives that align** with their specific needs and desires • **Improved employee performance:** Employees who feel valued and supported by their employers are more likely to **perform at a higher level**	• **One size does not fit all:** Businesses need to tailor their approach to meet the individual needs of their employees • **Expensive:** Meeting many individual needs can be costly, especially when offering perks such as the use of a company car • **Time-consuming:** Requires significant effort from management to connect individually to understand which opportunities for personal growth are desired

Motivation theories: Herzberg's Two-Factor Theory

- **Herzberg's theory** suggests that there are two types of factors that affect employee motivation and job satisfaction
  - **Hygiene factors** are elements that do not necessarily lead to job satisfaction, but their absence can cause dissatisfaction, which decreases motivation, e.g. poor teamwork in the workplace
  - **Motivators** are elements that lead to job satisfaction and motivation, e.g. increased responsibility

Herzberg's Two-factor Theory

An explanation of how the lack of hygiene factors causes dissatisfaction while addressing the motivators increases satisfaction. Increased satisfaction leads to increased productivity and profitability

- **Pay fair wages and salaries**
  - If an employee is not paid a fair wage for their work, they may become dissatisfied and demotivated
- **Offer excellent working conditions**
  - If the workplace is dirty, unsafe or uncomfortable, employees may become dissatisfied and demotivated
  - E.g. Google has a reputation for providing amazing workplaces, which include gourmet restaurants, laundry services and dog care
- **Offer employment contracts that provide job security**
  - If employees feel that their job is not secure, they may become anxious and demotivated and contribute less to the business goals

Using motivators to increase satisfaction

- **Build a recognition and rewards culture**
  - When employees are recognised and rewarded for their hard work, they are motivated to continue performing well
  - E.g. salesperson of the month award
- **Offer opportunities for growth and development**
  - When employees are given opportunities to learn new skills and advance in their careers, they are motivated to continue working for the company
  - E.g. set a three-year growth plan that helps the worker move towards an advanced role
- **Provide challenging work that requires problem-solving**
  - When employees are given challenging work that allows them to use their skills and abilities, they are motivated to continue performing well

Financial incentives to improve performance

- Financial incentives are rewards or payments given to employees in return for their labour or improved performance

Motivation theory and financial incentives

Incentive type	Explanation	Motivational theories
Piecework	• Employees are paid according to the **number of units** or pieces they produce	• Taylor's Scientific management

	or assembly-line settings, and encourages workers to produce more and increase their output	
Commission	• A percentage of **sales revenue** paid to workers who sell products or services • Commonly used in sales roles, and motivates staff to sell more and **increase their sales revenue**	• Hygiene factor in **Herzberg's Theory** • Connects to Esteem Needs in **Maslow's Hierarchy** (salesperson of the month)
Bonus	• An additional payment is given to staff as a reward for achieving specific goals, completing projects on time or **exceeding performance expectations** • Motivates staff to work harder and achieve better results	• Connects to Esteem Needs in **Maslow's Hierarchy** (achievement) • **Herzberg believed bonuses** as the main form of payment would negatively influence individual behaviour in the workplace (this was part of the problem in the banking industry leading up to the 2008 financial crash)
Profit share	• A portion of the company's profits are distributed among staff, which **encourages them to think like owners, work collaboratively** and focus on	• **Motivator in Herzberg's Theory** as it creates **buy-in to increased responsibility** (help the organisation succeed, be an owner) and is seen as a form of recognition

Performance-related pay	• Staff are paid based on their performance, which theoretically motivates staff to **work harder** and achieve better results • This form of payment has been **severely criticised** as discriminatory and open to abuse by managers	• **Hygiene Factor in Herzberg's** theory — and has been proven to **cause significant dissatisfaction** when utilised

Non-financial incentives to improve performance

- Non-financial incentives are rewards or motivators not directly related to money
- These incentives are usually intangible and include **methods that lead to** recognition, praise, job satisfaction and work-life balance

Motivational theory and non-financial incentives

Incentive type	Explanation	Motivational theories
Delegation	• It involves transferring responsibility from a manager to their staff • Gives employees a **sense of ownership** and control over their work, which can lead to improved productivity	• Maslow's Esteem Needs, as staff contribution is valued • A motivator in Herzberg's Two-Factor Theory (increase in responsibility)
Consultation	• It involves seeking the input of staff on decisions that affect their work • This inclusion can **increase**	• Maslow's Esteem Needs, as staff contribution is valued

	commitment, leading to improved productivity	
Empowerment	• Involves giving staff the authority and resources to make decisions and take action without first receiving management approval • Increases staff sense of **ownership and responsibility**, leading to improved productivity	• Maslow's Esteem Needs, as staff contribution is valued • A motivator in Herzberg's Two-Factor Theory (increase in responsibility)
Teamworking	• Involves creating opportunities for staff to **work collaboratively** • Staff can **share ideas and expertise**, leading to improved productivity and innovation	• Mayo's Human Relations Theory encourages teamwork
Flexible working	• Involves providing staff with the option to work remotely or to **adjust their hours** to suit their lifestyle • Can increase staff satisfaction and work-life balance, leading to **improved productivity** and **reduced turnover**	• Maslow's Self-Actualisation, as schedules can be adjusted to allow staff to attack their aspirations • A motivator in Herzberg's Two-Factor Theory (personal growth)
Job enrichment	• Involves adding more **challenging or meaningful tasks** to a job • Staff feel more motivated and	• Mayo's Human Relations Theory as it encourages the

	productivity	Herzberg's Two-Factor Theory
Job rotation	• Involves moving staff between different roles in the business • Exposes staff to **new challenges and experiences**, which can increase motivation, understanding and skill	• A motivator in Herzberg's Two-Factor Theory (the work itself)
Job enlargement	• Involves **expanding staff's job duties** to include additional tasks or responsibilities • Engaging with a **variety of tasks** can increase motivation and job satisfaction, leading to improved productivity	• Mayo's Human Relations Theory as it encourages the development of staff • A motivator in Herzberg's Two-Factor Theory (the work itself)

Examiner Tips and Tricks

When you are asked to assess a compensation package that a business wants to offer, there are several factors you should consider before answering:

1. **The context of the business:** Is it a manufacturing facility or a team of creative designers?
2. **The industry norms:** Does the data provide any insight into what competitors are doing?
3. **The balance of the compensation package:** ideally, it should include appropriate financial and non-financial incentives to maximise employee productivity and retention.

The case study usually provides good data, which helps you to answer the above questions and base your answer on, so refer to it as supporting evidence.

Test your students on this in just a few clicks

- Create exam-aligned tests
- Tailor format & difficulty
- Quizzes or homework in minutes

Try Test Builder

Test yourself

Flashcards

Was this revision note helpful? Yes No

Previous

Next

Course

Study tools

All topics

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.

Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.